PhillipCapital
PRIVATE CLIENT GROUP

SRM Contractors Ltd. (SRM IN)

A Niche Infrastructure Play with Structural Entry Barriers

INDIA | SMALLCAP| INITIATING COVERAGE REPORT

28 January 2026

BUY (Initiating Coverage)

CMP Rs 440

TARGET Rs 710 (+61%)

COMPANY DATA

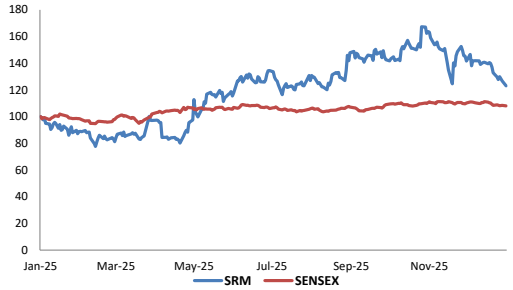
O/S SHARES (MN):	22.9
MARKET CAP (RSMN):	10,095.5
MARKET CAP (USDMN):	112.2
52 - WK HI/LO (RS):	650/287
TRADING VOL. 3M:	3.0
PAR VALUE (RS):	10

SHARE HOLDING PATTERN, %

PROMOTERS:	72.59
FII / FPI:	0.05
FI / MF / AIF:	1.26
PUBLIC & OTHERS:	26.10

As on December 2025

PRICE Vs. SENSEX



Source: PhillipCapital India Research

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Why we like the company:

- **Proven Expertise in Challenging Terrain:** SRM Contractors is a niche EPC player with proven execution capabilities in roads, bridges, tunnels, and slope stabilization across the extreme terrains of J&K and Ladakh. With ~50 projects executed in geographies marked by steep gradients, logistical constraints, and temperatures ranging from –35°C to 45°C, SRM has developed strong execution capabilities and a competitive moat. As one of the few EPC players capable of delivering infrastructure in such conditions, the company enjoys a high bid-win ratio (~50%) in slope stabilization projects, translating into superior pricing power and healthy EBITDA margins of 15%+.
- **Geographical Advantage:** SRM operates in high-entry-barrier hilly regions including J&K, Ladakh, Himachal Pradesh, and Uttarakhand, where limited competition reinforces its execution advantage. Historically, ~75–80% of the order book has originated from these regions and is expected to remain elevated at ~60–65% going forward. The company's consistent delivery has established it as a preferred EPC partner for institutions such as NHAI, BRO, NHIDCL, and state PWDs.
- **Strong Orderbook Visibility:** As of H1FY26, SRM's order book stood at Rs 15.5 bn (~3.0x FY25 revenues), providing 18–24 months of execution visibility. The order book is diversified across roads & bridges (64%), slope stabilization (26%), and tunnels (9%). A robust pipeline with ~Rs 25 bn of bids submitted and ~Rs 50 bn under evaluation supports sustained growth.
- **Strategic Acquisition Enhancing Scale and Capabilities (MIPL):** In FY25, SRM acquired a 51% stake in Maccaferri Infrastructure Private Limited (MIPL), an Italian multinational operating in 100+ countries. The acquisition strengthens SRM's geotechnical and slope stabilization capabilities and expanding its addressable market beyond J&K and Ladakh, and enables pan-India (majorly North East) and selective international opportunities. MIPL has similar margin profile as SRM with PAT margin around 10% and has reported ~Rs 1.5 bn revenue in H1FY26 and is expected to deliver ~Rs 3.0 bn in FY26, supported by an order book of ~Rs 2.0 bn as of H1FY26.
- **Strong Financial Strength:** SRM has delivered ~35% revenue CAGR over FY21–FY25 and is expected to grow at ~51% CAGR over FY25–FY28 (including MIPL). EBITDA margins have expanded to 15.4%, supported by higher-margin projects. The balance sheet remains net-cash positive with low leverage (D/E: 0.15x) and adequate bank guarantee headroom (~Rs 1.5 bn unutilized) to fund growth.

Outlook & view:

SRM Contractors is a niche EPC player with a strong execution moat in India's hilly and strategic border regions, where high complexity creates durable entry barriers. A healthy order book of ~Rs 15.5 bn and a robust bid pipeline provide multi-year growth visibility. The MIPL acquisition strengthens geotechnical capabilities, expands the addressable market beyond J&K and Ladakh, and enables selective international opportunities. A net-cash balance sheet and adequate bank guarantee headroom support scalable growth. We estimate consolidated **Revenue/EBITDA/PAT** CAGR of **51%/47%/35%** over FY26–FY28E. We value SRM at **12x FY28E P/E** and initiate coverage with a BUY rating and a **target price of Rs 710, implying ~61% upside**.

Year end	Net Sales	EBITDA	PAT	EPS, Rs	P/E	EV/EBITDA	P/B	ROE	ROCE
FY25	5,281	814	550	24.0	18.4x	9.9x	3.7x	27.2%	28.0%
FY26E	10,512	1,566	905	39.4	11.2x	5.1x	2.6x	27.6%	36.4%
FY27E	13,833	2,020	1,100	47.9	9.2x	3.9x	2.0x	24.7%	32.8%
FY28E	18,191	2,601	1,358	59.2	7.4x	3.0x	1.5x	23.1%	30.6%

Company Background:

SRM Contractors (SRM) is an engineering, construction, and development firm specializing in roads, bridges, tunnels, slope stabilization, and other civil infrastructure projects. The company primarily operates across Jammu & Kashmir, Ladakh, Uttarakhand, Himachal Pradesh, Arunachal Pradesh, Gujarat, Maharashtra, and Odisha.

Incorporated in 2008, SRM has nearly 17 years of experience in the infrastructure sector and employs a workforce of over 300 professionals, including terrain-specialized engineers and on-site personnel. Headquartered in Jammu, the company has built a strong track record in executing complex projects in challenging terrains, emerging as a key player in infrastructure development.

In-house design and Engineering Capabilities

SRM has integrated in-house design, engineering, and material procurement capabilities, enhancing project execution speed, quality, and operational efficiency. A centralized procurement and equipment management system minimizes reliance on third-party suppliers, ensuring better control over quality, timelines, and costs.

Key Clientele

The company focuses on government backed projects and is trusted by key institutions like NHAI, NHIDCL, BRO, State Governments, etc.

Source: Company & PhillipCapital India Research

Major Completed Projects

SRM Contractors stands at the forefront of redefining infrastructure possibilities, delivering iconic engineering marvels in India's most challenging and strategic environments. SRM has successfully delivered more than 50 projects till date and currently has 18 ongoing projects.

RS Wall Reasi, KRCL

Built India's highest reinforced soil wall designed for heavy-duty railway loading at Reasi, Jammu & Kashmir.

Precast Cut-and-Cover Tunnel, Leh, Ladakh

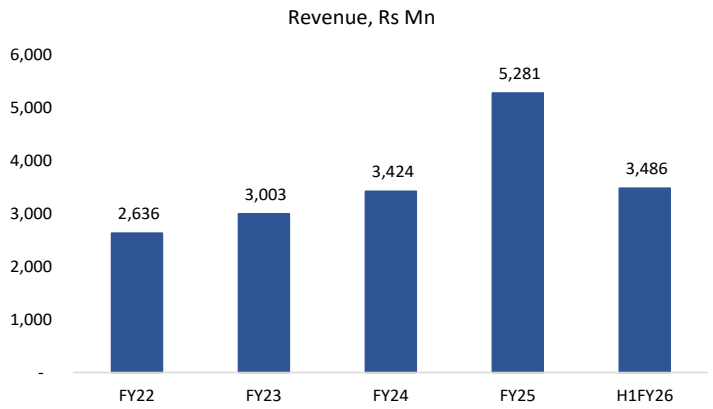
Engineered and executed the country's longest precast tunnel at a breathtaking 12,300 feet in Leh.

Cavern, Hanle, Ladakh, BRO

Built a pioneering underground cavern for the Indian Army and BRO at 15,200 ft. a new record for high-altitude defense infrastructure

Revenue and EBITDA growth

Historically, the company has delivered ~35% revenue CAGR over the last four years, with growth accelerating to 54% YoY basis in FY25. This performance reflects strong execution capabilities, timely project delivery, and an improving industry reputation. The momentum is also evident in EBITDA, which has grown at a ~39% CAGR over the last three years, with additional orders of ~₹10,000 million expected by the end of FY26.



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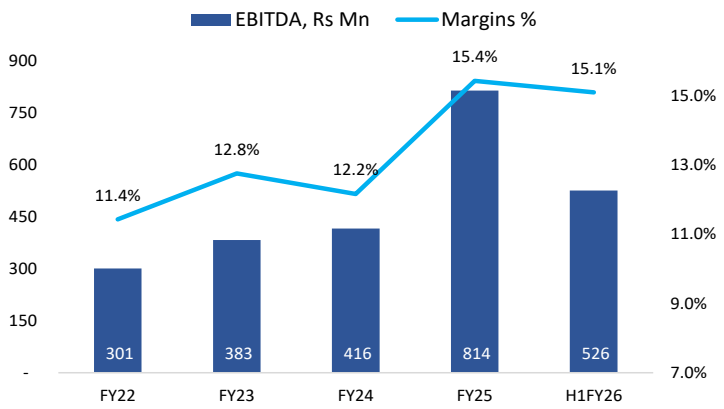
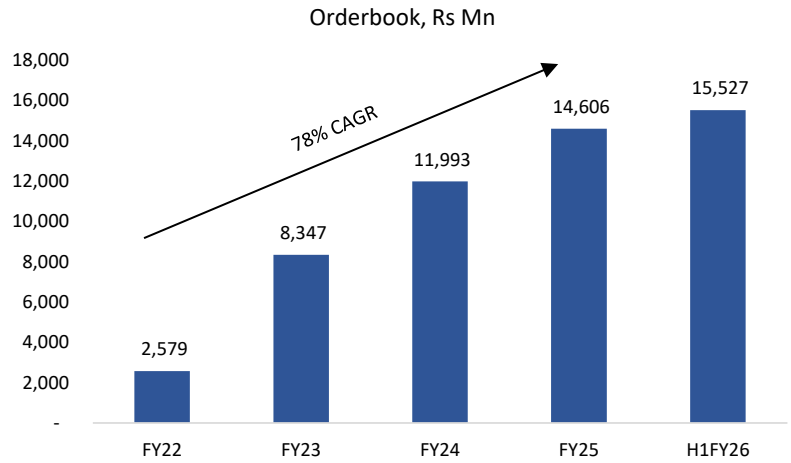


Source: Company & PhillipCapital India Research

Orderbook

SRM has a strong orderbook of ~Rs 15,500 Mn as of H1FY26 (18-24 months execution timeframe). This orderbook is ~3 times FY25 Revenue which gives a good revenue visibility of till FY27. Further the company has an orderbook pipeline of ~Rs 40,000 Mn. Currently, the company is present in 8 states where they recently entered Maharashtra State. The company further plans to enter adjacent sectors such as Ropeways and civil work in Mining activities



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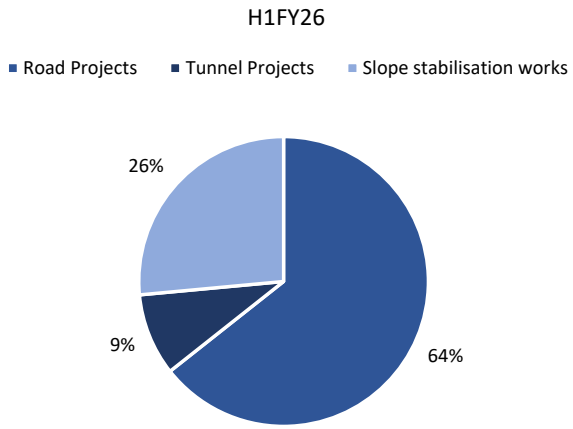


Source: Company & PhillipCapital India Research

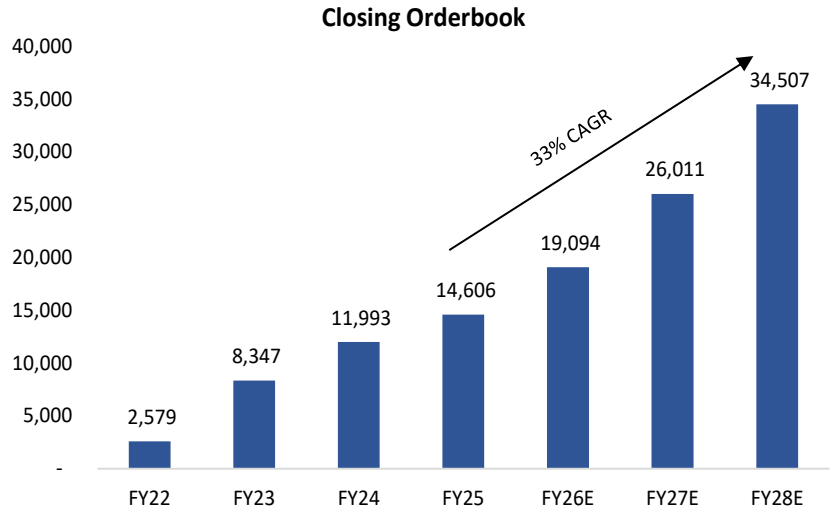
Geographical Order Book Mix Rs Mn	FY25	H1 FY26
Arunachal Pradesh	18.2	248.3
Gujarat	2,611.1	2,391.2
Himachal Pradesh	946.1	758.6
Jammu & Kashmir	5,939.3	4,988.5
Leh & Ladakh	1,748.4	1,383.2
Odisha	534.0	455.9
Uttarakhand	2,808.8	2,647.9
Maharashtra	-	2,653.0
Total	**14,605.9**	**15,526.6**

Source: Company & PhillipCapital India Research

Board of Directors & Management	Designation	Work Experience and Key Responsibility
Dr. Sanjay Mehta	Promotor & Chairman	He has been associated with the Company since its incorporation in 2008. He has over 17 years of experience in the construction industry, particularly, in the infrastructure sector. He is currently focused on driving international business expansion, including the development of the Abu Dhabi branch office as well as the GCC and African markets.
Mr. Puneet Pal Singh	Promoter, Managing Director & CEO	He has over 6 years of experience in the construction industry, particularly, in the infrastructure sector. He started as a project co-ordinator and was appointed on BOD in 2022. Recently he has been appointed as CEO and MD of the company and will be overseeing Domsestic operations.
Ms. Ashley Mehta	Promotor and Non-Executive Director	Ashley Mehta is a Non-Executive Director of the Company. She completed her degree of Bachelor of Science in Civil Engineering from Rutgers. She is presently employed at Weeks Marine, Inc. as a Field Engineer - Dredging
Mr. Ankur Verma	Executive Director	He is a qualified Civil Engineer with over 12 years of professional experience in civil engineering, project execution, contract management, and quantity surveying.He has been associated with SRM Contractors Limited since 2013. He possesses extensive expertise in tender management, bid preparation, cost estimation, contract administration, and execution planning for large scale infrastructure projects.
Mr. Yudhvir Gupta	Independent Director	He has been enrolled with Bar Council of Jammu and Kashmir since 1999. He is the proprietor of M/s Gupta Accountants, Jammu since 1999. The firm specializes in taxation and accountancy matters and has more than 25 years of experience in legal (taxation) matters.
Mr. Sushil Kumar Sharma	Independent Director	He is an Independent Director appointed since August 30, 2023. He has over 3 decades of experience in the education sector specialzizing in Botany.
Mr. Inder Jeet Kumar	Independent Director	He is a seasoned legal professional with over 24 years of extensive practice as an Advocate. With his proven expertise in navigating complex legal and regulatory matters, Mr. Inder Jeet Kumar brings valuable insights into governance, compliance, and risk management.
Mr. Sanjay Sharma	Independent Director	He has been enrolled with the Bar Council of Jammu and Kashmir since 2006. He has more than 20 years of experience in legal field. He has been empaneled on the J&K Bank's panel of lawyers since 2010.
Ms. Aashni Mahajan	Chief Financial Officer	She has been working with our Company since January 2024. Chartered Accountant with a Masters in Finance from the University of Jammu & Kashmir and with extensive experience in Wipro Limited.
Mr. Arun Mathur	Company Secretary & Compliance Officer	He has been working with our Company since September 1, 2022. With a Master of Commerce degree from the University of Jammu and an Associate Membership with the Institute of Company Secretaries of India since 2014

Source: Company & PhillipCapital India Research

Story in Charts



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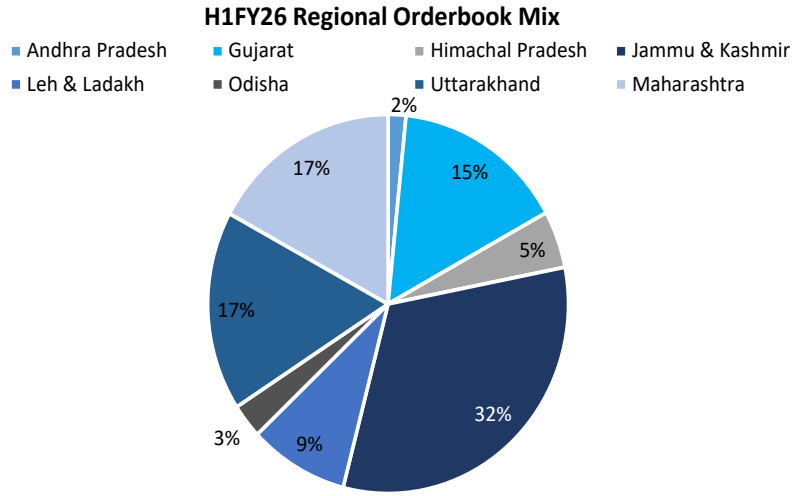

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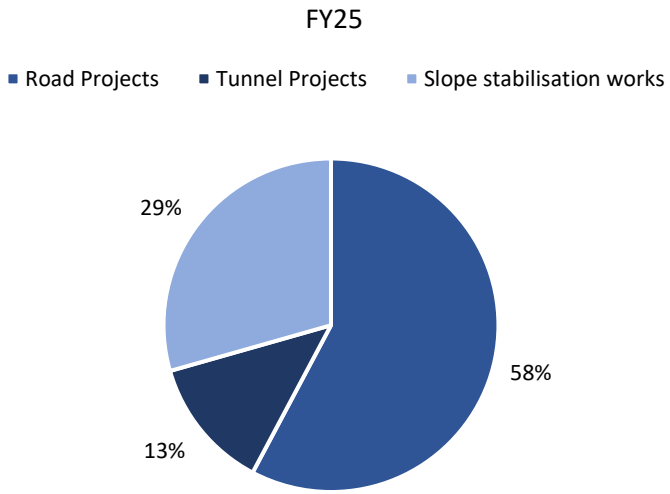

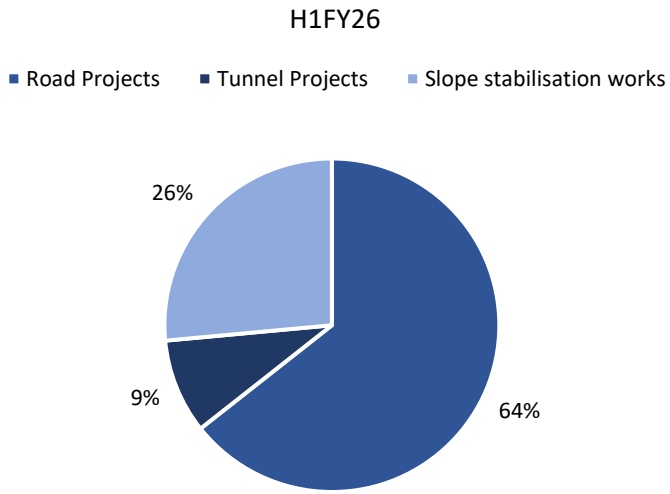

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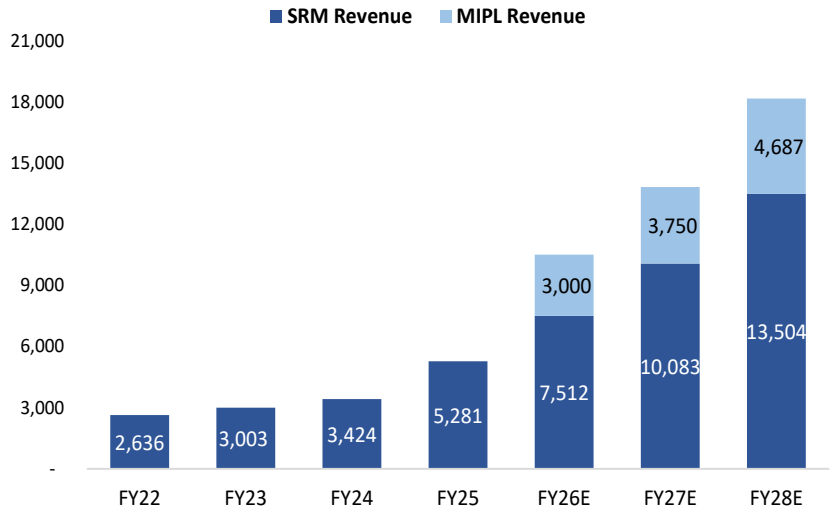

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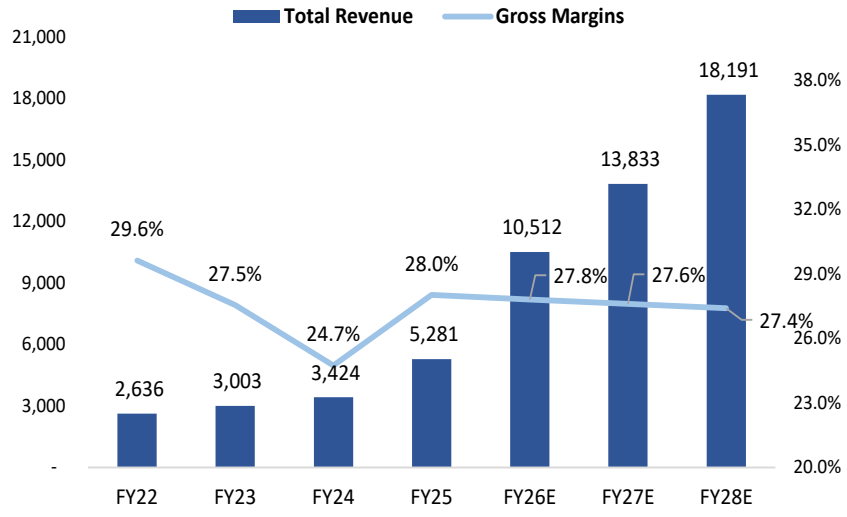

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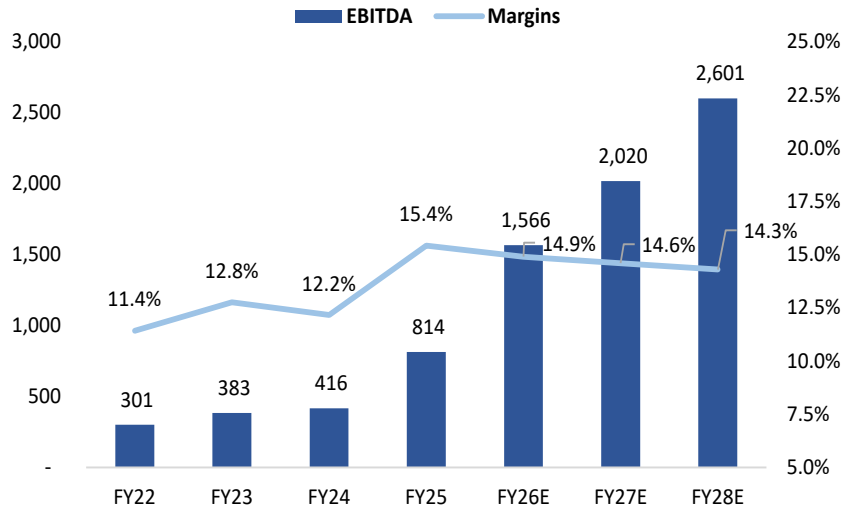

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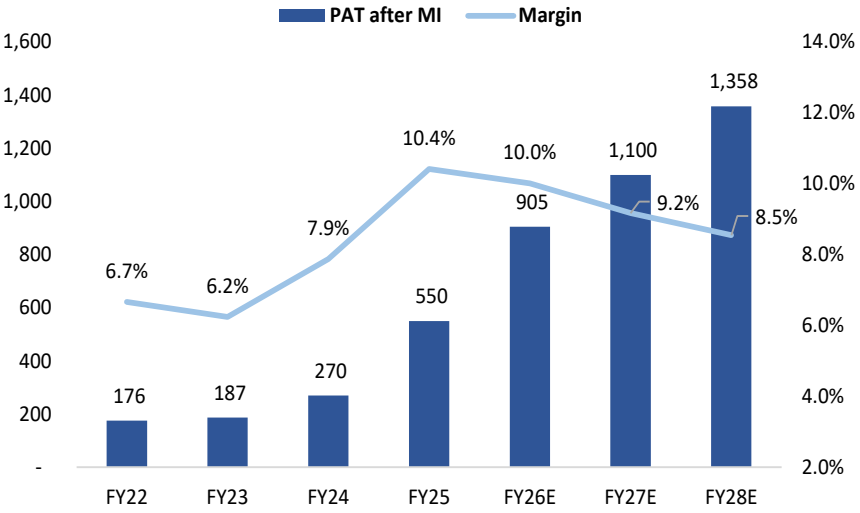

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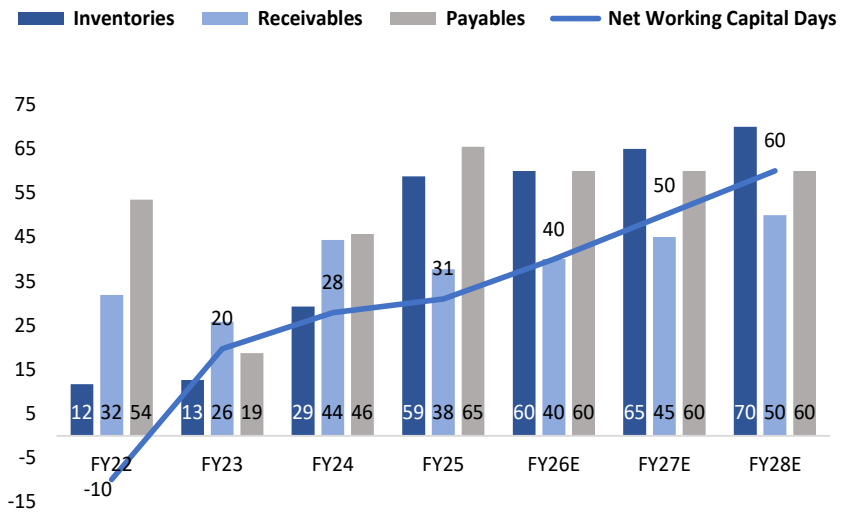

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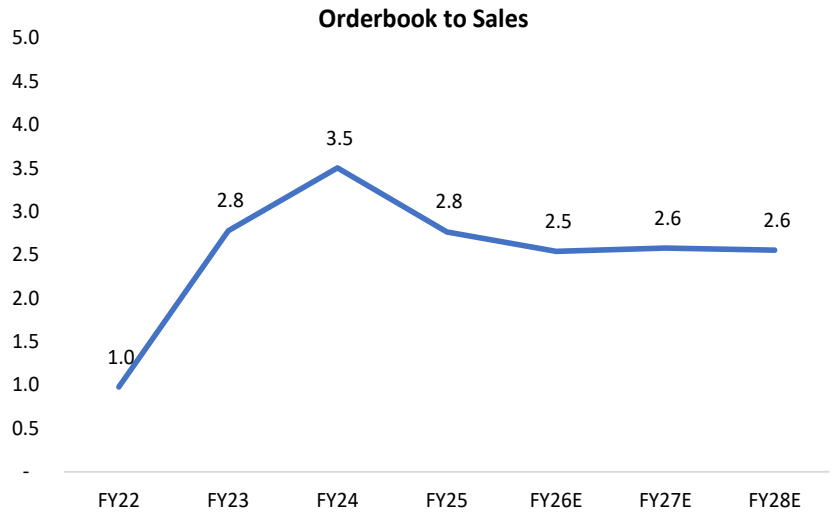

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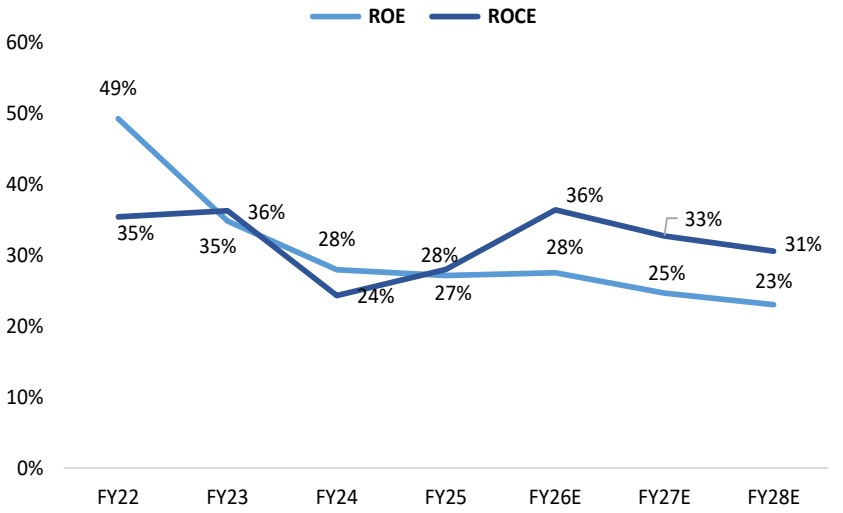

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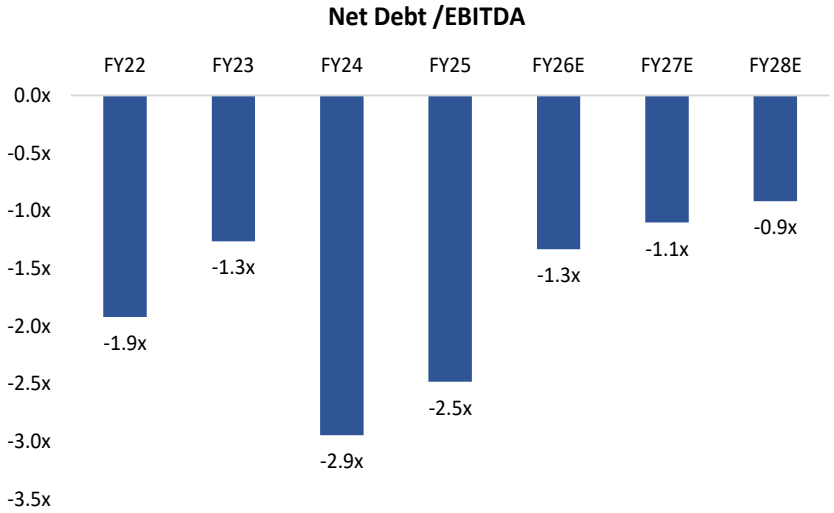

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Industry Overview

Indian Infrastructure: A Structural Growth Cycle

Over the last decade, India has witnessed a step-change in infrastructure development, driven by mission-mode execution, policy reforms, and sustained public capital expenditure. Flagship initiatives such as PRAGATI, PM GatiShakti, National Logistics Policy, Bharatmala, Sagarmala, and UDAN have strengthened connectivity, reduced logistics costs, and improved economic efficiency. This coordinated infrastructure push aligns with the government's long-term vision of Viksit Bharat by 2047.

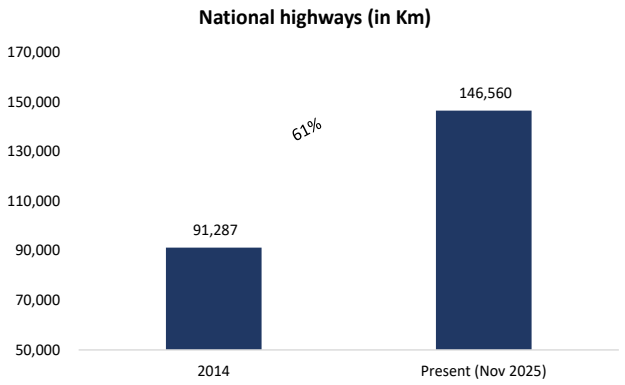
Flagship Programs: PM GatiShakti National Master Plan

Launched in October 2021, the PM GatiShakti National Master Plan aims to optimize Rs 100 lakh crore of infrastructure investment through integrated, multimodal planning. Covering roads, railways, ports, waterways, airports, mass transit, and logistics, the platform enables coordinated execution across ministries and states, improving project efficiency and reducing delays.

Roads & Highways: Sustained Scale-Up

India possesses the world's second-largest road network, with National Highways forming the backbone of long-distance and strategic connectivity. The government's sustained focus on road infrastructure has resulted in a sharp expansion of capacity and quality over the last decade:

- National Highway network expanded by ~61%, increasing from 91,287 km in 2014 to 1,46,560 km currently.
- Access-controlled high-speed corridors and expressways expanded from 93 km in 2014 to 3,052 km, reflecting a growth of over 30x.
- Four-lane and above National Highways (excluding expressways) increased 2.5x, from 18,278 km to 45,947 km.
- Road transport and highways budget increased by ~570% between 2014 and FY24, reflecting sustained policy focus.
- For FY26, the government has allocated Rs 2.87 lakh crore to the Ministry of Road Transport & Highways (MoRTH), reinforcing continued momentum in highway development.



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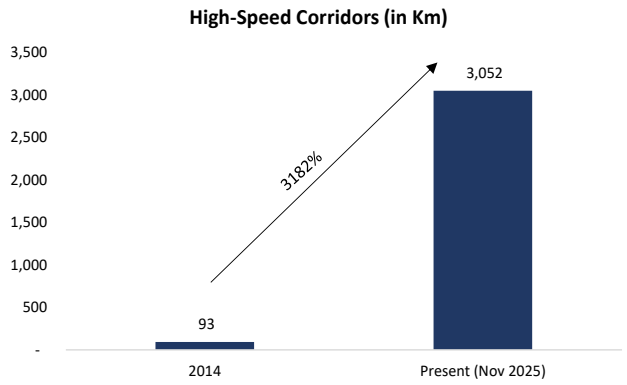

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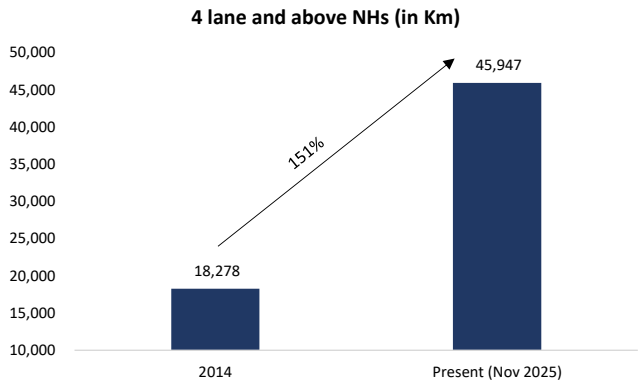


Source: Company & PhillipCapital India Research

Road Project construction FY14 – Nov'25

Sr. No.	Year	Awards (in km)	Construction (in km)	Construction (in km / day)
1	2014-15	7,972	4,410	12.1
2	2015-16	10,098	6,061	16.6
3	2016-17	15,948	8,231	22.6
4	2017-18	17,055	9,829	26.9
5	2018-19	5,493	10,855	29.7
6	2019-20	8,948	10,237	28.1
7	2020-21	10,964	13,327	36.5
8	2021-22	12,731	10,457	28.6
9	2022-23	12,376	10,331	28.3
10	2023-24	8,581	12,349	33.8
11	2024-25	7,538	10,660	29.2
12	2025-26 (till Nov'25)	1,951	4,612	17.1

Bharatmala Phase I: Status Update

Bharatmala Phase I focuses on the development of economic corridors, national corridors, expressways, border roads, and connectivity infrastructure, with an aggregate planned length of 34,800 km at an estimated cost of Rs 5.35 lakh crore (implementation period: FY18–FY22). The program also subsumes ~10,000 km of balance NHDP works.

As of November 2025, progress stands as follows:

- 26,425 km awarded (~76% of planned length)
- 21,597 km completed (~62% of planned length)

Due to cost escalations and scope revisions, Phase I is now expected to be completed by 2027, implying a ~5-year delay versus the original timeline.

Component	Length (in km)	Total Length Completed (in km)
		Up to 30.11.2025
Economic Corridors	8,737	6,896
Inter Corridors Roads	2,889	2,397
Feeder Roads	973	702
National Corridors	1,777	1,516
National Corridor Efficiency Improvement	824	767
Expressways	2,422	1,994
Border Roads & International Connectivity Roads	1,619	1,466
Coastal Roads	77	72
Port Connectivity Roads	348	154
Balance Road Works under NHDP	6,758	5,633
Total – Bharatmala	26,424	21,597

Bharatmala Phase I has been predominantly executed under EPC and HAM models, limiting traffic and financing risk for contractors:

Mode of Implementation	Awarded		
	Length (km)	Total Capital Cost (in Cr)	% Length
EPC	14,748	4,06,024	56%
HAM	11,269	4,36,522	43%
BOT Toll	408	11,111	1%
Grand Total	26,425	8,53,656	100%

Implications for Specialized Contractors

The continued focus on border roads, expressways, and corridor development, combined with a delayed but ongoing execution cycle, ensures a sustained pipeline of road projects. Contractors with experience in difficult terrains, strategic regions, and EPC execution, such as SRM Contractors, remain well positioned to benefit from incremental awards and execution-led revenue visibility.

Rural Roads: Near-Universal Connectivity; Incremental Execution Opportunity

The Pradhan Mantri Gram Sadak Yojana (PMGSY) has been central to India's rural infrastructure build-out, targeting all-weather road connectivity to habitations with 500+ population in plains and 250+ in special category regions (hills, NER, tribal and backward areas). The program has achieved its original objective of 1.63 lakh habitations, driven near-universal rural connectivity and improved socio-economic outcomes.

As of May 2025, 8.37 lakh km of rural roads have been sanctioned under PMGSY, of which 7.80 lakh km have been completed or upgraded, translating into ~99% rural road connectivity.

PMGSY-IV: Incremental Multi-Year Pipeline

To address residual gaps, the government approved PMGSY-IV in September 2024, targeting 25,000 unconnected habitations through the construction of 62,500 km of all-weather roads over FY25–FY29, with a total outlay of Rs 70,125 crore. The program provides a fresh, multi-year execution pipeline, largely concentrated in remote and difficult terrains.

PM-JANMAN: Last-Mile Tribal Connectivity

PM-JANMAN, a dedicated PMGSY vertical, focuses on road connectivity for Particularly Vulnerable Tribal Group (PVTG) habitations with populations as low as 100. The scheme targets 8,000 km over FY24-FY28, with 5,718 km sanctioned to date at an outlay of Rs 4,366 crore, reinforcing the government's focus on last-mile connectivity in challenging geographies.

Border Infrastructure Support via BRO

The Border Roads Organisation (BRO) plays a critical role in strategic and rural connectivity in frontier areas. In the Union Budget 2025-26, BRO received an allocation of Rs 7,146.5 crore, marking a nearly 10% increase from the previous year's estimates. This budget supports construction of roads, bridges, and tunnels in difficult terrain and enhances logistics and socio-economic development in border regions.

Investment Argument

Proven Expertise in Challenging Terrain

Deep Expertise in High-Altitude and Extreme-Climate Infrastructure Execution: SRM Contractors has built specialized execution capabilities in high-altitude and hilly terrains across Jammu & Kashmir, Ladakh, Uttarakhand, Himachal Pradesh, with an emerging footprint in the Northeast. The company undertakes roads (including bridges), tunnels, and slope stabilization projects in environments marked by extreme logistical constraints, steep gradients, and temperatures ranging from ~45°C in summer to as low as –30°C in winter at altitudes exceeding 15,000 feet. This operational expertise significantly narrows the competitive universe and raises execution entry barriers.

Order Book and Pipeline Skewed Toward High-Complexity Projects:

- ~70% of the current order book is concentrated in hilly and challenging terrain, with a strong bidding pipeline of ~Rs 40 bn, including ~Rs 25 bn of active bids; going forward, such projects are expected to contribute ~60–65% of the order book, ensuring sustained execution visibility.
- This consistent focus on high-complexity projects reinforces SRM's execution edge and strategic relevance in niche, high-entry-barrier segments.

Niche Capability Drives Superior Win Rates and Margins:

- SRM is among a very limited set of Niche EPC players capable of executing infrastructure projects in extreme hilly terrain and adverse climatic conditions, translating into a structurally high bid-win ratio of ~50% in slope stabilization.
- Higher-margin slope stabilization and hilly road projects (often including tunnel works) have enabled EBITDA margins of ~15%; as SRM expands selectively into new geographies, margins are expected to normalize modestly to ~14–14.5% while remaining above industry averages.

Preferred Partner Status with Strategic Institutions: SRM's technical capabilities and consistent execution have earned it Class-A contractor status and long-standing relationships with key institutions such as NHAI, NHIDCL, MoRTH, BRO, and state PWDs. This positions SRM as a preferred EPC partner in J&K and Ladakh—regions with high strategic importance, limited competition, and durable infrastructure spending visibility.

Record Breaking Engineering Marvels by SRM

RS Wall Reasi, KRCL
Built India's highest reinforced soil wall designed for heavy-duty railway loading at Reasi, Jammu & Kashmir.

Precast Cut-and-Cover Tunnel, Leh, Ladakh
Engineered and executed the country's longest precast tunnel at a breathtaking 12,300 feet in Leh.

Cavern, Hanle, Ladakh, BRO
Built a pioneering underground cavern for the Indian Army and BRO at 15,200 ft. a new record for high-altitude defense infrastructure

Geographical Advantage with High Entry Barriers

Dominant Presence in Niche Hilly Regions:
Over 75% of SRM's order book in FY25 was sourced from hilly regions, underscoring its niche positioning in geographies with limited qualified EPC players. This concentration enhances SRM's contract win rates and positions it as a preferred partner for both direct EPC awards and subcontracting opportunities. Going forward, management expects hilly-region projects to continue contributing ~60–65% of the total order book, sustaining SRM's competitive advantage.

Expansion into New Geographies via MIPL:
The acquisition of Maccaferri Infrastructure (MIPL) provides SRM with technical expertise and an established presence in select northeastern states, enabling entry into new high-potential regions while leveraging MIPL's local networks and capabilities as well as open international opportunities.

Contibution from Hilly Areas	FY25	FY26E	FY27E	FY28E
Himachal Pradesh	6%	4%	4%	3%
Jammu & Kashmir	41%	34%	33%	35%
Leh & Ladakh	12%	9%	9%	10%
Uttarakhand	19%	16%	14%	13%
Total Hilly areas Contribution	**78%**	**63%**	**60%**	**61%**
Other States	22%	37%	40%	39%

Source: Company & PhillipCapital India Research

High Entry Barriers Supported by a Proven Track Record in Complex Himalayan Projects: Infrastructure execution in Himalayan regions entails significantly higher complexity due to steep gradients, sharp curvature, landslide-prone terrain, extreme weather, and stringent safety and environmental norms. Over the past 17 years, SRM has successfully executed 50+ critical projects, including:

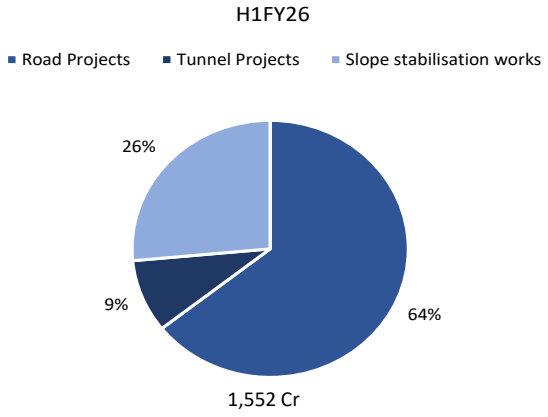
- High-altitude tunnels for strategic and defense connectivity
- Major bridges and roads in remote border areas
- Large-scale slope stabilization and hill-cutting works, essential for all-weather access

Rationale to Enter into New Geographies: SRM is expanding into new states such as Maharashtra, Gujarat and the North Eastern regions to diversify its geographical concentration away from the North Indian hilly belt. Maharashtra, in particular, offers significant infrastructure opportunities, with infrastructure spending higher than any other state in India. Entry into the North East allows SRM to leverage its expertise in hilly terrain projects, thereby expanding its capabilities to similar geographies.

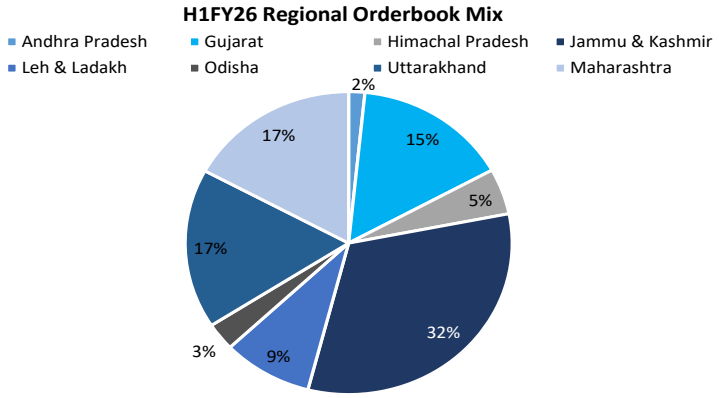
While the increased share of Road projects may lead to a marginal decline in consolidated margins by 50-100 bps, the diversification strategy is expected to ensure a steady pipeline of order inflows and support sustained revenue growth over the long term.

Strong Orderbook improves Revenue Visibility

SRM's order book demonstrates scale, diversification, and strong forward visibility. As of H1FY26, the order book stood at Rs 15,520 Mn, well diversified across roads & bridges (64%), slope stabilization (26%), and tunnels (9%), executable in 18-24 months ensuring execution flexibility while maintaining exposure to high-complexity projects.



Source: Company & PhillipCapital India Research



Source: Company & PhillipCapital India Research

Geographically, SRM's order book spans eight states, with **around two-thirds of revenues derived from northern hilly regions such as J&K, Ladakh, Himachal Pradesh, and Uttarakhand**. Importantly, the company has begun geographic expansion beyond its core markets, recently entering Maharashtra with its first road orders worth ~Rs 2,500 Mn, and plans to scale presence in both Maharashtra and the Northeast. While Maharashtra offers volume-led infrastructure opportunities, management continues to prioritize niche, high-entry-barrier projects like slope stabilization, tunnels, and bridges in difficult terrain across new geographies.

Segmental Order Book Mix %	FY24	FY25	FY26E	FY27E	FY28E
Road Projects	60%	58%	65%	63%	61%
Tunnel Projects	22%	13%	10%	11%	12%
slope stabilisation works	17%	29%	25%	24%	24%
Other miscellaneous civil Co	1%	0%	0%	2%	3%
Total	**100%**	**100%**	**100%**	**100%**	**100%**

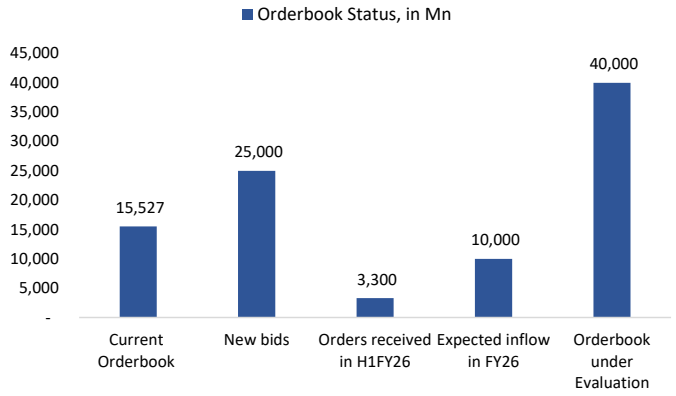
Source: Company & PhillipCapital India Research

Foray into Newer Segments

HAM (Hybrid Annuity Model) Projects: The Indian government is promoting Public-Private Partnerships (PPPs) to bridge infrastructure gaps, with a three-year PPP pipeline of Rs 17 lakh crore covering 852 projects, including roads, ports, power, and railways. Total FY26 capex under NIP is targeted at Rs 15.48 lakh crore, ~31% of the overall budget. SRM is eligible for HAM projects worth ~Rs 12,000 Mn, with an additional Rs 20,000 Mn of orders under evaluation.

Note: Order book growth mentioned elsewhere excludes HAM projects, implying upside potential from this segment.

Ropeway Projects: The National Ropeways Development Programme – Parvatmala, implemented via PPP by NHLML, targets 250 ropeway projects (~1,200 km) over 5 years, enabling last-mile connectivity in remote and hilly areas. Govindghat to Hemkund Sahib Ji (12.4 km) – Rs 2,730 Cr. Sonprayag to Kedarnath (12.9 km) – Rs 4,081 Cr. Total budget allocation for 250 projects is ~Rs 1.25 lakh crore over 5 years. SRM plans to actively participate in ropeway tenders, creating a new high-margin growth avenue in niche hilly infrastructure.



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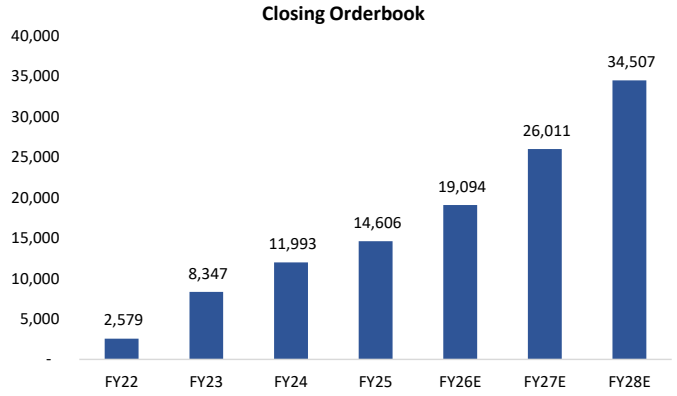

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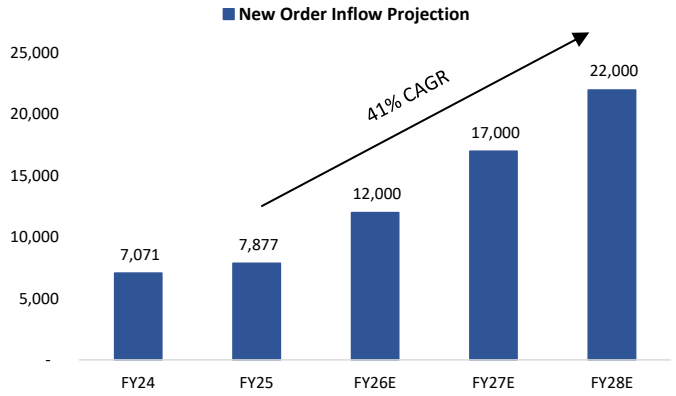

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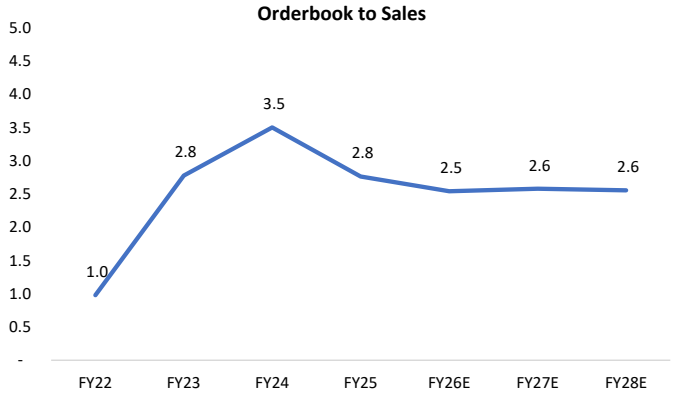


Source: Company & PhillipCapital India Research

- SRM has placed ~Rs 25,000 Mn of bids in H1FY26 and expects new order inflows of ~Rs 8,000–10,000 Mn by FY26-end. Additionally, the company has a robust evaluation pipeline of ~Rs 40,000 Mn, excluding HAM projects, enhancing medium-term revenue visibility and execution optionality.

- We estimate the FY26 closing order book at ~Rs 19,000 Mn and gross order additions are projected at ~Rs 12,000 Mn in FY26, ~Rs 17,000 Mn in FY27, and ~Rs 22,000 Mn in FY28, implying an order book CAGR of ~33% over FY25–FY28 driven by steady bid wins and geographic diversification.

- The order book-to-sales ratio has remained strong at 2.8x–3.5x over the past three years, standing at 2.8x in FY25. We expect this to normalize to ~2.6x over the next 2–3 years, which remains adequate to support sustained revenue growth without execution strain.

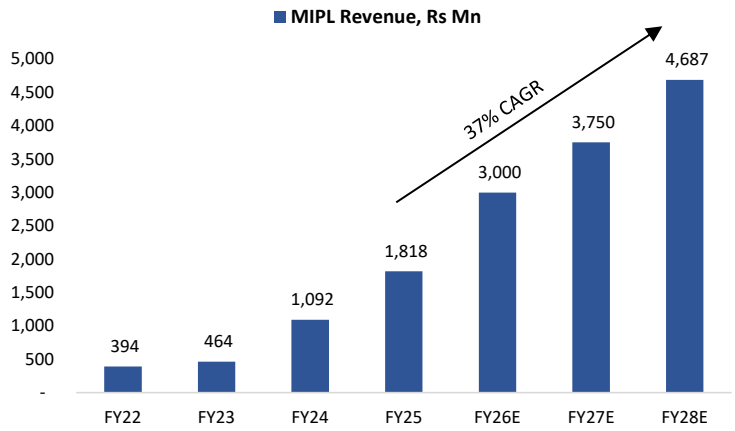
Strategic Acquisition Enhancing Scale and Capabilities (MIPL)

SRM's acquisition of a 51% stake in MIPL significantly strengthens its capabilities in geotechnical engineering, slope stabilization, and environmental infrastructure—high-entry-barrier segments with strong demand in challenging terrains. MIPL, the Indian arm of the 140-year-old Italy-based Maccaferri Group (global turnover ~Rs 70 bn, operations in 100+ countries), brings global technical expertise and an established client base. The acquisition positions SRM as a leading player in advanced stabilization and rockfall protection solutions, enabling pan-India expansion beyond its northern markets.

The transaction was executed at disciplined valuations, with SRM investing Rs 760 Mn for a 51% stake at ~1.4x FY24 sales and ~16.7x PAT, enhancing SRM's technical depth, addressable market, and long-term growth visibility.

Leveraging MIPL for Northeastern Market Entry: MIPL has an established presence across 13 Indian states, with significant operations in northeastern states such as Nagaland, Arunachal Pradesh, Assam, and Meghalaya. This allows SRM to enter these new markets efficiently, without the need to open regional offices or navigate additional formalities, accelerating its footprint in the Northeast.

International Expansion Potential: The partnership with MIPL also supports SRM's international ambitions, leveraging Maccaferri Group's presence in 100+ countries. SRM has already established an office in Abu Dhabi to target GCC and African markets, with bids submitted in the UAE and Uganda. International expansion is incremental to current projections and provides additional growth optionality.



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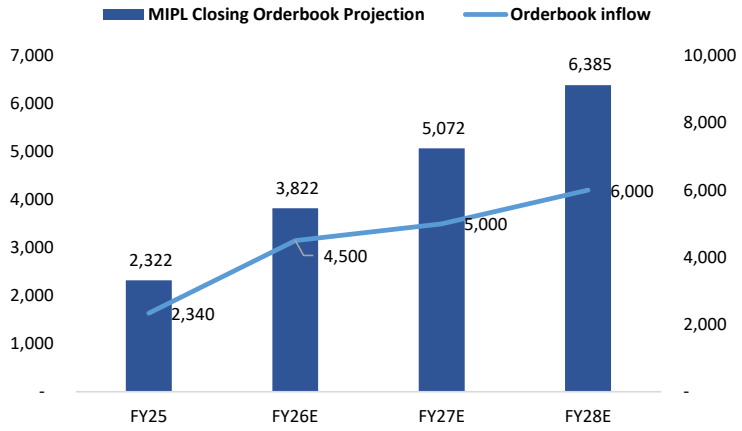


Source: Company & PhillipCapital India Research

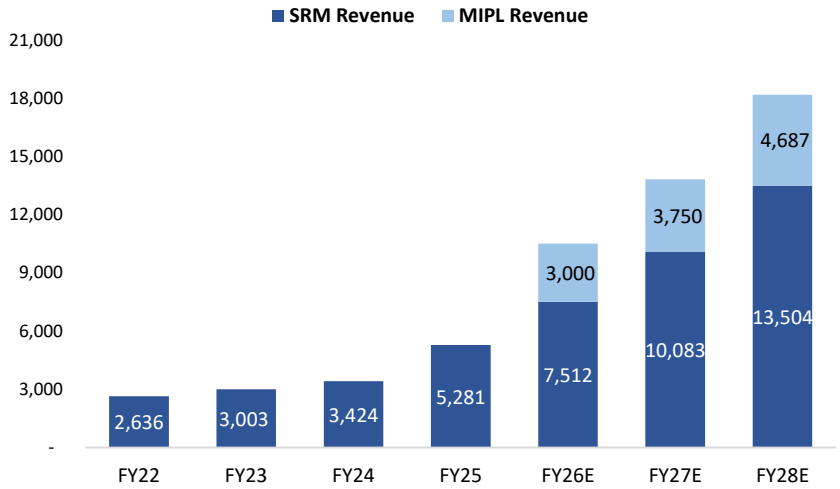
MIPL has delivered a revenue CAGR of ~67% over FY22–FY25 and had an order book of Rs 2.3 bn as of FY25. Post-acquisition synergies and SRM's execution track record are expected to drive FY26 revenues to ~Rs 3 bn (+65% YoY), with projected order inflows of Rs 4.5–6 bn over FY26–FY28. The acquisition enhances SRM's technical depth, addressable market, and long-term growth visibility.

Strong Financial Performance:

Sustained Revenue Momentum with Strong Visibility

SRM has delivered robust topline growth, supported by its execution strength in complex terrains. Standalone revenues grew at a 35% CAGR from Rs 1,601 Mn in FY21 to Rs 5,281 Mn in FY25. Momentum has accelerated further, with H1FY26 revenues up ~130% YoY to Rs 3,486 Mn, driven by strong execution and order book ramp-up.

We expect H2FY26 revenues of ~Rs 4,000–4,500 Mn, taking FY26 standalone revenues to ~Rs 7,512 Mn (+43% YoY).



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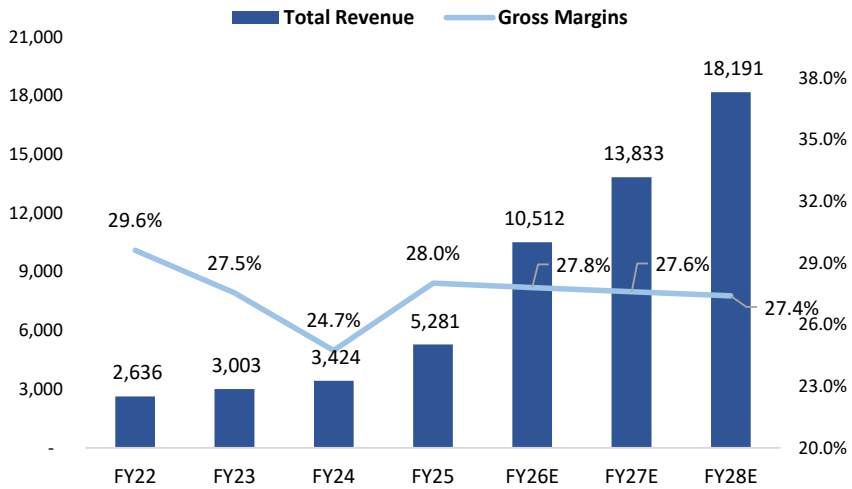
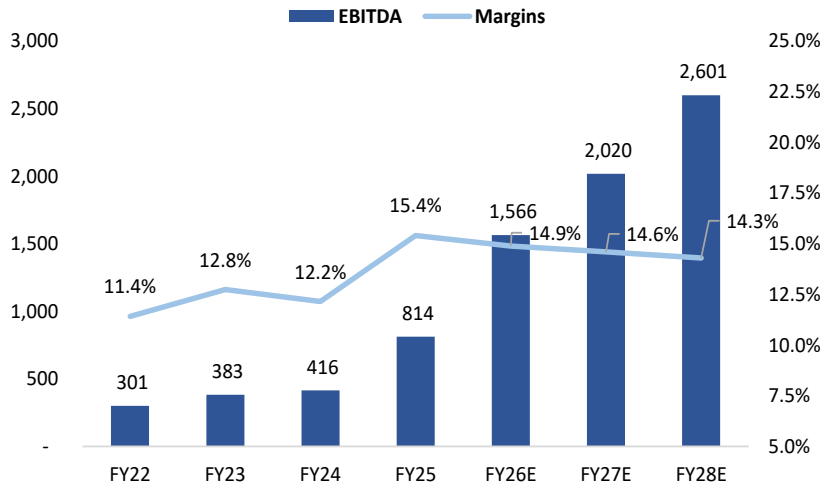


Source: Company & PhillipCapital India Research

Consolidation of MIPL Driving Step-Change in Scale

- Following the acquisition of 51% in MIPL, SRM's consolidated revenues are expected to see a meaningful uplift. MIPL is projected to contribute ~Rs 3,000 Mn in FY26, taking FY26 consolidated revenues to ~Rs 10,500–11,000 Mn, implying ~100% YoY growth on a consolidated basis.
- Over the medium term, consolidated revenues are projected to grow at a 51% CAGR over FY25–FY28, scaling 3.4x from Rs 5,281 Mn in FY25 to Rs 18,191 Mn in FY28, driven by strong order book visibility for both SRM and MIPL.

Improving Profitability with Margin Normalization



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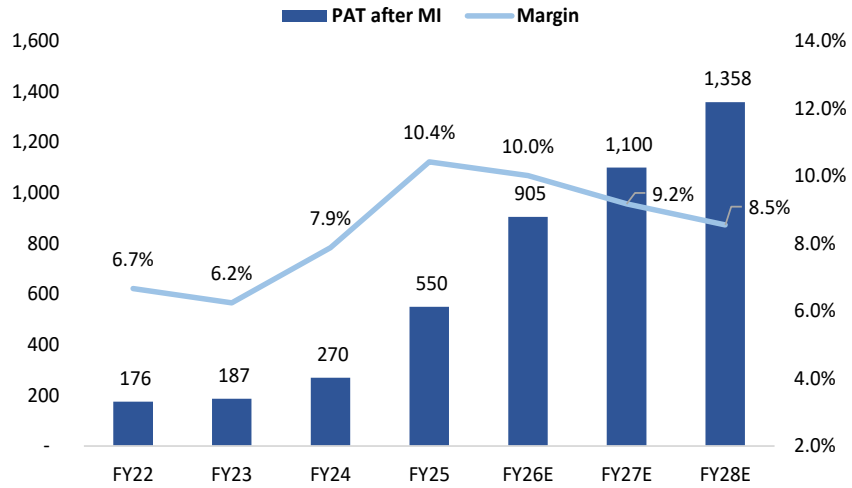


Source: Company & PhillipCapital India Research

EBITDA & Margins

- EBITDA grew at a 39% CAGR over FY22–FY25, increasing from Rs 301 Mn to Rs 814 Mn, with margins expanding ~400 bps to 15.4% due to better execution and higher share of value-added works.
- Going forward, EBITDA is projected to grow at a 47% CAGR over FY25–FY28, while margins are expected to normalize to ~14–14.5%, reflecting an increasing contribution from relatively lower-margin road projects.

PAT after Minority Interest & Margins

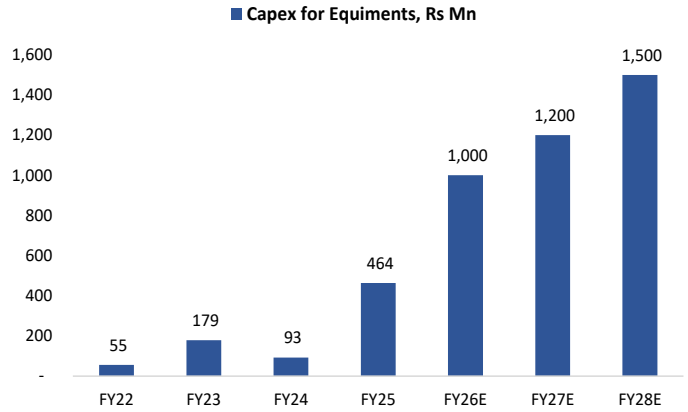
- PAT has grown from Rs 176 Mn in FY22 to Rs 550 Mn in FY25, registering a CAGR of 46% over the last three years. PAT margins have improved from 6.7% in FY22 to 10.4% in FY25 and are expected to normalize around 8.5–9% as the share of road projects increases.
- On a consolidated basis (PAT after minority interest), earnings are projected to grow at a 35–42% CAGR over FY25–FY28, rising from Rs 550 Mn in FY25 to ~Rs 1,358 Mn by FY28.

Asset Ownership Supporting Execution

- SRM owns ~300 construction machines, including 100+ critical assets such as tunnel equipment, hot-mix plants, RMC plants, and crushers. High asset ownership improves cost control, execution certainty, and margins, particularly in remote and high-altitude projects.
- The company incurred ~Rs 500 Mn in capex in H1FY26 and plans an additional Rs 300–500 Mn in H2FY26. Capex of ~Rs 1,200 Mn in FY27 and ~Rs 1,500 Mn in FY28 is planned, primarily for machinery, and the company has sufficient internal accruals to fund the required expenditure.

Return Ratios

- SRM maintains strong return metrics, with ROE of ~27% and ROCE of ~28% in FY25, underscoring efficient capital deployment and disciplined growth.



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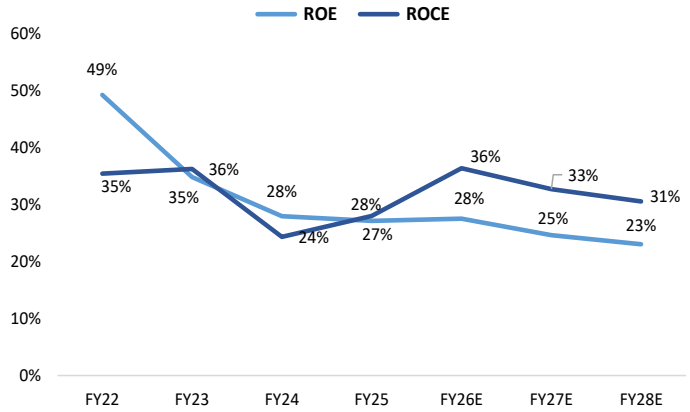
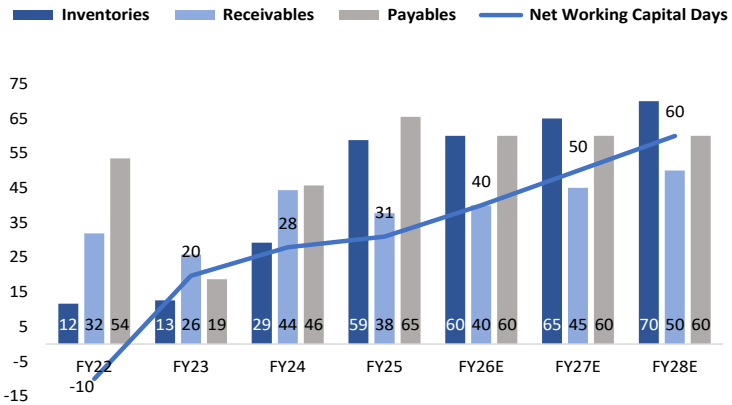


Source: Company & PhillipCapital India Research

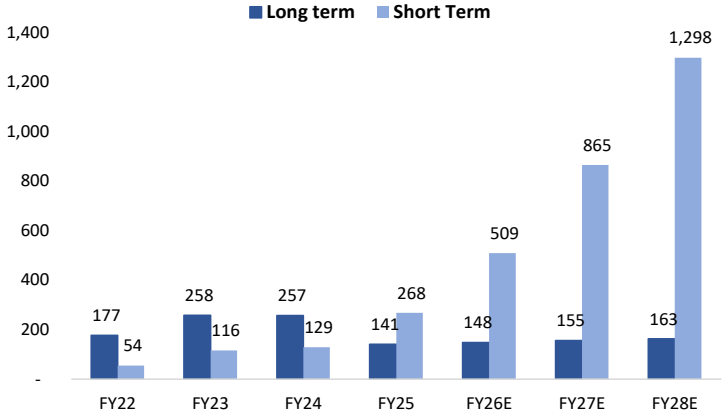
Disciplined Working Capital Management

Net working capital stood at 31 days in FY25, reflecting efficient cash-cycle management. While working capital intensity may increase with larger projects, it is expected to remain within a manageable range of ~45-60.



Source: Company & PhillipCapital India Research

Strong Balance Sheet and Liquidity Headroom



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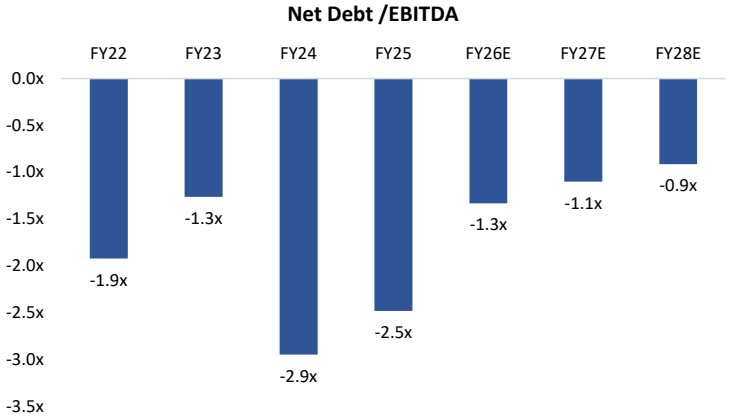

Source: Company & PhillipCapital India Research

- SRM has significantly strengthened its balance sheet, reducing long-term debt from Rs 257 Mn in FY24 to Rs 141 Mn in FY25 using IPO proceeds. The company is net debt-free, with a Debt/Equity of 0.15x and comfortable leverage metrics.
- Going forward, even though the company is incurring capex and short-term borrowings may increase with scale, liquidity remains adequate. SRM has bank guarantee limits of ~Rs 3,000 Mn, with ~Rs 1,500 Mn unutilized as of H1FY26, and is in the process of enhancing limits to ~Rs 4,000 Mn, providing sufficient headroom for growth.

Scenario Analysis

Bull Case:

- **Revenue Growth:** Consolidated revenue CAGR of **59.3%** vs **51.0% in Base Case**, driven by **~10% higher order inflows** in SRM & MIPL and a 5% faster project execution in both opening orderbook as well as new order inflow.
- **Profitability:** PAT (post-minority) margins improve by **~100 bps** due to operational efficiency.
- **Valuation:** Premium **P/E multiple of 13x Mar'28E** vs 12x in Base Case.
- **Return Potential: ~104% upside** from current levels.

Bear Case:

- **Revenue Growth:** Consolidated revenue CAGR of **42.0%** vs 51.0% in Base Case, due to **~10% lower order inflows** and 5% slower execution in both opening orderbook as well as new order inflow.
- **Profitability:** PAT (post-minority) margins decline by **~300–400 bps**.
- **Valuation:** Conservative **P/E multiple of 11x Mar'28E** vs 12x in Base Case.
- **Return Potential: ~9% upside** from current levels.

Financials| Rs Mn	BULL CASE			BASE CASE			BEAR CASE		
Scenario Analysis	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
Order Inflow	**13,200**	**18,700**	**24,200**	**12,000**	**17,000**	**22,000**	**10,800**	**15,300**	**19,800**
Opening Orderbook Execution Rate %	***40%***	***40%***	***40%***	***35%***	***35%***	***35%***	***30%***	***30%***	***30%***
New Order-inflow Execution Rate %	***25%***	***25%***	***25%***	***20%***	***20%***	***20%***	***15%***	***15%***	***15%***
Revenue									
SRM	9,142	12,140	16,139	7,512	10,083	13,504	6,002	8,116	10,946
MIPL	3,091	4,018	5,223	3,000	3,750	4,687	2,909	3,491	4,189
Total Revenue	**12,233**	**16,158**	**21,363**	**10,512**	**13,833**	**18,191**	**8,911**	**11,607**	**15,135**
Growth, YoY	*131.6%*	*32.1%*	*32.2%*	*99.0%*	*31.6%*	*31.5%*	*68.7%*	*30.3%*	*30.4%*
EBITDA	**1,823**	**2,359**	**3,055**	**1,566**	**2,020**	**2,601**	**1,328**	**1,695**	**2,164**
% margin	*14.9%*	*14.6%*	*14.3%*	*14.9%*	*14.6%*	*14.3%*	*14.9%*	*14.6%*	*14.3%*
Adj. PAT	**1,252**	**1,538**	**1,917**	**1,059**	**1,283**	**1,577**	**880**	**1,040**	**1,249**
% margin	*10.2%*	*9.5%*	*9.0%*	*10.1%*	*9.3%*	*8.7%*	*9.9%*	*9.0%*	*8.3%*
PAT post Minority Interest	**1,093**	**1,341**	**1,674**	**905**	**1,100**	**1,358**	**731**	**869**	**1,054**
% Margin	*10.2%*	*9.5%*	*8.9%*	*10.0%*	*9.2%*	*8.5%*	*9.8%*	*8.8%*	*8.1%*
Mar 28E P/E (x)			13x			12x			11x
Target Market Cap			21,756			16,300			11,592
TP (Rs/share)			**948**			**710**			**505**
CMP (Rs/share)			440			440			440
% Return Potential			**115%**			**61%**			**15%**

Source: PhillipCapital India Research

Risks & Concerns:

- **Geopolitical and Climatic Risks in Core Regions:** A significant portion of SRM's operations is concentrated in J&K, Ladakh, and other high-altitude regions, exposing the company to geopolitical uncertainties, extreme weather (snowfall, landslides), and seasonal execution disruptions.
- **High Dependence on Government Contracts and Spending:** SRM derives a majority of its revenues from government-funded projects. Any slowdown in infrastructure spending, policy changes, or delays in project approvals could adversely impact order inflows and revenue visibility.
- **Working Capital and Payment Delays:** Delays in receivables from government authorities may stretch working capital cycles and increase short-term borrowing requirements, impacting cash flows and return ratios.
- **Execution and Cost Overrun Risks in Complex Projects:** Projects in difficult terrains involve execution risks related to unforeseen geological conditions, equipment breakdowns, safety incidents, and skilled labor availability, potentially leading to time and cost overruns.
- **Integration Risk from Maccaferri Acquisition and Capital Intensity**: The integration of Maccaferri Infrastructure (MIPL) carries execution and synergy realization risks. Additionally, the capital-intensive nature of the business raises the risk of future equity dilution if internal accruals are insufficient to fund growth.

Outlook & View:

SRM Contractors is a niche EPC player with a strong execution moat in hilly and high-altitude regions, where technical complexity, extreme weather, and stringent safety requirements create high entry barriers. A healthy order book (~Rs 15 bn) and robust bid pipeline provide clear near- to medium-term revenue visibility, supported by sustained government tender activity in roads, tunnels, and slope stabilization.

The MIPL acquisition enhances geotechnical and slope stabilization capabilities, expands the addressable market beyond northern India (including the Northeast), and provides selective international growth optionality. Coupled with a net-cash, low-leverage balance sheet and sufficient bank guarantee headroom, SRM is well-positioned to scale operations and sustain multi-year growth.

We estimate a Revenue/EBITDA/PAT (after MI) CAGR of 51%/47%/35% over FY26E-28E on a consolidated basis. We value the company at 12x FY28E P/E and initiate coverage with a BUY rating, with a target price of Rs 710, implying an upside of ~61% from current levels.

Consolidated Financials:

Income Statement

Y/E March, Rs. Mn	FY24	FY25	FY26E	FY27E	FY28E
Revenue					
SRM	**3,424**	**5,281**	**7,512**	**10,083**	**13,504**
MIPL	-	-	**3,000**	**3,750**	**4,687**
Total Revenue	**3,424**	**5,281**	**10,512**	**13,833**	**18,191**
Growth %	14%	54%	99%	32%	32%
Raw Material Cost	2,577	3,801	7,590	10,015	13,207
Employee Cost	144	204	473	622	819
Other Expense	287	462	883	1,176	1,564
Total Expense	3,008	4,467	8,946	11,813	15,590
EBITDA	**416**	**814**	**1,566**	**2,020**	**2,601**
EBITDA Margin (%)	12.2%	15.4%	14.9%	14.6%	14.3%
Depreciation	89	136	175	285	420
EBIT	**327**	**679**	**1,391**	**1,734**	**2,181**
Interest	57	75	99	153	219
Other Income	76	139	120	130	140
PBT	346	743	1,413	1,711	2,102
Less: Taxation	76	193	353	428	526
Effective Tax rate (%)	22%	26%	25%	25%	25%
PAT	**270**	**550**	**1,059**	**1,283**	**1,577**
Growth %	44%	104%	93%	21%	23%
PAT after MI	**270**	**550**	**905**	**1,100**	**1,358**
PAT after MI Margin (%)	7.9%	10.4%	10.0%	9.2%	8.5%
Growth %	44%	104%	65%	22%	24%
Wtd. Avg. Shares (Mn)	17	23	23	23	23
EPS	16.1	24.0	39.4	47.9	59.2

Balance Sheet

Y/E March, Rs. Mn	FY24	FY25	FY26E	FY27E	FY28E
Equity Capital	167	229	229	229	229
Reserves	1,126	2,526	3,585	4,869	6,445
Net Worth	1,294	2,755	3,815	5,098	6,675
Non Current Liabilities	262	145	152	160	167
Current Liabilities	794	1,176	1,638	2,326	3,222
Total Liabilities	**2,350**	**4,076**	**5,605**	**7,584**	**10,065**
Net Block	398	727	1,552	2,467	3,546
Investments	64	69	69	69	69
Current Assets					
Trade Recievable	313	393	594	900	1,343
Inventory	275	851	1,235	1,796	2,590
Cash & Bank Balance	593	930	917	968	966
Loans & Investments	706	1,106	1,236	1,383	1,549
Other Current Assets	2	1	1	1	1
Total Assets	**2,350**	**4,076**	**5,605**	**7,584**	**10,065**

Source: Company & PhillipCapital India Research

Cash flow

Y/E March, Rs. Mn	FY24	FY25	FY26E	FY27E	FY28E
PBT	346	743	1,413	1,711	2,102
Tax paid	(75)	(194)	(353)	(428)	(526)
Dep & amortization	89	136	175	285	420
Working capital changes	(218)	(674)	(397)	(528)	(721)
Cash flow from Operating Activities	**143**	**11**	**838**	**1,041**	**1,276**
Capital Expenditure	(93)	(464)	(1,000)	(1,200)	(1,500)
Others	(46)	(5)	-	-	-
Cash flow from Investing Activities	**(139)**	**(469)**	**(1,000)**	**(1,200)**	**(1,500)**
Changes in Equity	**391**	**911**	**-**	**-**	**-**
Changes in Debt	2	(116)	248	364	440
Others	-	-	(99)	(153)	(219)
Cash flow from Financing Activities	**392**	**795**	**150**	**211**	**221**
Closing Cash Balance	**593**	**930**	**917**	**968**	**966**

Valuation Ratios

Y/E March, Rs. Mn	FY24	FY25	FY26E	FY27E	FY28E
EPS	16.1	24.0	39.4	47.9	59.2
Book NAV/Share	77	120	166	222	291
Growth Ratios					
Net Sales %	14%	54%	99%	32%	32%
EBITDA %	9%	96%	92%	29%	29%
PAT %	44%	104%	93%	21%	23%
Return Ratios					
ROE %	28%	27%	28%	25%	23%
ROCE %	24%	28%	36%	33%	31%
Turnover Ratios					
Fixed Asset Turnover (x)	8.6x	7.3x	6.8x	5.6x	5.1x
Receivable Days	44 days	38 days	40 days	45 days	50 days
Inventory Days	29 days	59 days	60 days	65 days	70 days
Payable Days	46 days	65 days	60 days	60 days	60 days
Liquidity Ratios					
Current Ratio (x)	2.4x	2.8x	2.4x	2.2x	2.0x
Interest Coverage (x)	5.7x	9.1x	14.1x	11.3x	10.0x
Total Debt/ Equity (x)	0.3x	0.1x	0.2x	0.2x	0.2x
Valuation Ratios					
Price / Book (x)	6.1x	3.9x	2.8x	2.1x	1.6x
Price / Earnings (x)	29.2x	19.6x	11.9x	9.8x	7.9x
EV / Sales (x)	1.9x	1.7x	0.8x	0.6x	0.5x
EV / EBITDA (x)	16.0x	10.8x	5.5x	4.2x	3.2x

Rating Methodology

We rate stock on absolute return basis. Our target price for the stocks has an investment horizon of one year. We have different threshold for large market capitalisation stock & Mid/small market capitalisation stock. The categorisation of stock based on market capitalisation is as per the SEBI requirement.

Large cap stocks

Rating	Criteria	Definition
BUY	>= +10%	Target price is equal to or more than 10% of current market price
NEUTRAL	-10% > to < +10%	Target price is less than +10% but more than -10%
SELL	<= -10%	Target price is less than or equal to -10%.

Mid cap & Small cap stocks

Rating	Criteria	Definition
BUY	>= +15%	Target price is equal to or more than 15% of current market price
NEUTRAL	-15% > to < +15%	Target price is less than +15% but more than -15%
SELL	<= -15%	Target price is less than or equal to -15%.

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